Exercise 2 • Opening Balance Sheet & Mixed Contributions

JUGA S.A. Opening Balance Sheet with In-Kind Contributions

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> *The JUGA S.A. Firm is started with a shareholders contribution of 60.000 Euros. Of those 30.000 are paid in and deposited in a Bank account and the remaining are corresponding to the transfer of a patent for a value of 30.000 Euros. With the cash of the Bank account, raw materials have been purchased for a total amount of 10.500 Euros and machinery for 15.000 Euros. Please detail the balance sheet at the operations start.*

EXAM DAY STRATEGY: IN-KIND CONTRIBUTIONS & CASH LEDGER TRACKING

- **Initial Equity Structure:** Subscribed Share Capital $= €60,000$.
  - Monetary cash contributed to bank account: $+€30,000$.
  - In-kind non-monetary contribution: Industrial Patent valued at $+€30,000 \implies$ **Intangible Non-Current Asset**.
- **Asset Reallocation Funded by Bank Cash:** The problem explicitly states that purchases are made *with the cash of the bank account*:
  - Raw materials purchased: $+€10,500$ (Current Asset: Inventories).
  - Machinery purchased: $+€15,000$ (Non-Current Tangible Asset: PP&E).
  - Total cash disbursed: $10,500 + 15,000 = €25,500$.
  - **Ending Bank Balance:** $30,000 - 25,500 = \mathbf{€4,500}$.
- **Exam Trap 1 – Raw Materials Treatment:** Since the firm is at the *operations start* (no manufacturing has occurred and no sales have been made), raw materials are **100% an Inventory Asset** on the Balance Sheet, NOT an expense on an income statement.
- **Exam Trap 2 – Bank Balance Adjustment:** Do not leave the bank balance at €30,000 while also adding machinery and raw materials. That would cause assets to total €85,500 against €60,000 of equity, violating the fundamental accounting identity!
- **Exam Trap 3 – Patent Classification:** An industrial patent is an *Intangible Fixed Asset (Inmovilizado Intangible)*, not an expense and not a current asset.
- **Exam-Day Checkpoint:** Verify that Total Assets $= 45,000\ (\text{NCA}) + 15,000\ (\text{CA}) = \mathbf{€60,000} \equiv$ Stockholders' Equity $= \mathbf{€60,000}$, with Liabilities $= \mathbf{€0}$.

Phase 1: Step-by-Step Journaling & Cash Ledger

1. **Initial Capital Subscription:**

$$\text{Subscribed Share Capital} = \mathbf{60,000}\ €$$

Formed by:

- Bank account deposit (Monetary): $+30,000$ €
- Industrial Patent contribution (In-kind Intangible Asset): $+30,000$ €

2. **Asset Acquisitions Funded from Bank Liquidity:**

$$\begin{aligned} \text{Raw Materials Purchased (Inventory)} &= +10,500 \text{ €} \quad \text{(Current Asset)} \\ \text{Machinery Purchased (PP\&E)} &= +15,000 \text{ €} \quad \text{(Non-Current Tangible Asset)} \\ \hline \text{Total Cash Outflows} &= 10,500 + 15,000 = \mathbf{25,500} \text{ €} \end{aligned}$$

3. **Ending Treasury Cash Balance at Bank:**

$$\text{Bank Account Balance} = 30,000 - 25,500 = \mathbf{4,500} \text{ €}$$

Phase 2: The Formal Opening Balance Sheet

ASSETS (Activo)	**Amount (€)**	**LIABILITIES & EQUITY (Pasivo y PN)**	**Amount (€)**
NON-CURRENT ASSETS (Activo No Corriente)	**45,000**	**STOCKHOLDERS' EQUITY (Patrimonio Neto)**	**60,000**
• Intangible Assets: Industrial Patent	30,000	• Subscribed Share Capital	60,000
• Tangible Fixed Assets: Machinery	15,000		
CURRENT ASSETS (Activo Corriente)	**15,000**	**NON-CURRENT LIABILITIES (Pasivo No Corriente)**	**0**
• Inventories: Raw Materials	10,500	• Long-term bank debt	0
• Cash & Cash Equivalents (Bank account)	4,500	**CURRENT LIABILITIES (Pasivo Corriente)**	**0**
		• Accounts payable (Suppliers)	0
TOTAL ASSETS	**60,000**	**TOTAL LIABILITIES & EQUITY**	**60,000**

STRUCTURAL & SOLVENCY VERDICT

$$\text{Assets } (\mathbf{60,000} \text{ €}) \equiv \text{Liabilities } (\mathbf{0} \text{ €}) + \text{Equity } (\mathbf{60,000} \text{ €})$$

The company starts with zero debt leverage ($\text{Debt}/\text{Equity} = 0$), financed 100% by equity capital. Working capital is $\text{WC} = \text{CA} - \text{CL} = 15,000 - 0 = +\mathbf{15,000}$ €, providing absolute short-term liquidity safety.

Study notes written from the official course material (T3_Financial Statements_EXERCISES.pdf; Topic 3 Financial Management (I).pdf). Online version: subjects/business-management/problemas/topic-3-financial-statements.html